Country Compliance Report:

Czech Republic

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Czech Republic, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted betweenone business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship acompany selling products, services or information to governments or government agencies
DPH	Dan z pridane hodnoty (DPH) is the local name of Value-added tax (VAT)
ISDOC	ISDOC (Information System Document) is the electronic invoicing format in the Czech Republic
NEN	*Národní elektronický nástroj* (NEN) platform enables central, regional and local public contracting authorities to process the entire eProcurement life-cycle.
Post Audit	The post-audit model allows trading partners to exchange e-documents as well as other transactional fiscal documents (including but not limited to invoices, further called "e-documents") directly with each other, without any real-time or immediate controls performed by the tax office. Even though eDocument is allowed, there are no prescriptions as to in what format, infrastructure, or how they should be issued or distributed. The tax audits are performed afterward

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Czech Republic, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Ministry of Interior • Public Procurement and Concessions Portal (Portál VZ) • The Czech Office for Standards, Metrology and Testing (ÚNMZ)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• The Czech VAT Code • Act No. 563/1991 Coll., on Accounting • Act No. 227/2000 Coll., on Electronic Signature • Act No. 235/2004 Coll., on VAT • Act No. 134/2016 Coll. on Public Procurement Resolution No. 347/2017

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• Same regimes exist for both B2G and B2B
e-Invoicing model	• Post-audit
e-Invoice definition[2]	• Any electronic data which contain the essentials of tax document. The format is not decisive.
Scope of taxpayers the e-document mandate applies to	• B2G: All contracting authorities • December 31, 2018 - the obligation of the central state administration bodies and their subordinate organizational units of the state to accept electronic invoices in the formats specified by the European Directive 2014/55 / EU and in the isdoc / isdocx (Information System Document) version 5.2 and higher • April 1, 2019 - the obligation of contracting authorities in the Czech Republic and the Czech National Bank in public procurement contracts to accept and process electronic invoices complying with the European standard for electronic invoicing • April 1, 2020 - the obligation of contracting authorities to accept and process electronic invoices corresponding to the European standard for electronic invoicing • B2B: Buyer's consent is required
Mandatory AoR (document response) process	• N.a.
Implementation / roll-out plan	• Not implemented

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number in the Czech Republic:

- Exemption for small businesses –CZK 2,000,000 (ca EUR 80,980)
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – CZK 326,000 (ca EUR 13,199)
- Application of the special scheme for distance selling – CZK 1,140,000 (ca EUR 46,157)

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

The Czech Ministry of Finance increased the threshold for VAT registration from CZK 1,000,000 (ca EUR 40,488) to CZK 2,000,000 (ca EUR 80,980) as of January 2023.

Czech Republic IT number format: CZ prefix followed by 8, 9 or 10 digits (ranging from 0 to 9). For example: CZ12345678, CZ123456789 or CZ1234567890

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirement

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Buyer's consent is required, but can be tacit, e.g. by processing or paying the invoice
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• N.a.

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance i required on the invoice	• No explicit requirement
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Explicit authorisation is required
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• There is no agreement content required by law, however, If the authorization is granted electronically it must be signed with a Qualified Electronic Signature
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirement
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

The Czech Republic has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• n.a.	• EN compatible[4]
Other document format(s) commonly used for exchange between trading parties	• EDIFACT • UBL • ISDOC[5]	• n.a.
Mandated platform(s) required to have connection with for e-document processing	• Národní elektronický nástroj (NEN)	• n.a.
Other platform(s) relevant for e-document processing	• n.a	• n.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• n.a	• n.a.

[4] The exact details are however not set at as the moment when this report is being drafted

[5] ISDOC is an electronic invoicing format in the Czech Republic, was defined by "A Working group for Electronic Standards of data exchanging" in ICT Union (formerly SPIS). The "Declaration on common approach in the area of electronic invoicing in the Czech Republic" was signed on 16th October 2008. The Declaration represents commitment of individual producers of economical and ERP systems to build a common electronic invoicing format and to implement them into their own commercial packages for, in the vicinity of, one year. ISDOC has become the most widely used electronic invoicing format inthe SME segment in Czech Republic. Consultations are underway on how to implement this technology in the Slovak Republic.

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• n.a	• n.a.
Other technical aspects	• n.a	• n.a.

5.2. Communication with mandatory infrastructure

Regulations in the Czech Republic foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• No explicit requirements
Manual	• No explicit requirements
Other options	• n.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

B2B and B2G e-invoicing

There are no explicit technical process requirements on e-invoices issuance in Czech Republic, such as exchange with a predefined infrastructure, as B2G and B2B e-invoicing follows the post-audit model.

(1) Documents are exchanged between suppliers and customers in various formats and viavarious exchange mechanisms, due to legal requirements and other business related preferences

(2) The key requirements are to ensure the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) Neither document format nor exchange mechanism are regulated

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Use of e-invoicing in the cross-border scenario is not explicitly regulated in Czech Republic.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

This process is not explicitly regulated in Czech Republic. Neither document format nor exchange mechanism are regulated as long as country-specific content is met.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

Use of e-invoicing in the cross-border scenario is not explicitly regulated in Czech Republic. Czech Republican buyer will usually receive a paper or PDF invoice for cross-border purchase invoices.

5.5. AoR (response) process

No explicit requirement on the Recipient to provide to the Supplier confirmation / notification that an eInvoice has been received.

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In the Czech Republic, there are no specific requirements in this regard.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no explicit requirements in this regard.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• No explicit requirements
Webportal[6]	• No explicit requirements
Scanning inbound invoices	• Allowed
Scanning outbound invoicing	• Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

In the Czech Republic, a VAT credit / debit note is used to amend the VAT originally charged on a supply. The value of the supply must be corrected in the following circumstances, among others:

- The supply that was made is cancelled (in full or in part).
- A supply is returned (in full or in part).
- A discount is provided after the tax point.
- The payment on which a VAT payer was required to charge VAT was subsequently used for purposes of another supply that had different VAT treatment.

The amount of VAT credited or debited should be separately itemized on the credit or debit note.

[6] Note, however, that prior to using and external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed, not required
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the dematerialisation	• I&A of the invoice must be ensured. This can be done by an authorised conversion (e.g. by the Czech Point) or by a sufficient audit trail. The paper invoice may then be destroyed.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the materialisation	• I&A of the invoice must be ensured. This can be done by an authorised conversion (e.g. by the Czech Point) or by a sufficient audit trail. The paper invoice may then be destroyed.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

In the Czech Republic, there are no specific requirements in this regard.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice • Summary invoice • Credit/Debit note/Corrective document
Documents mandatory for issuance by buyer	• Self-billed invoice

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes • The total amount, incl. VAT does not exceed 10.000 CZK

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes

Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No, but recommended

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)[7] rates

This section illustrates the applied IT[8] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
21%[9]	**Standard**	All other taxable goods and services.
15%[4]	**Reduced**	Foodstuffs; Repairs and work on medical instruments; Non-alcoholic beverages; Air passenger transport; Certain medical equipment and pharmaceuticals; Medical and social care (unless exempt); Children's car safety seats; Funeral services; Transfers of "housing provided as pat of a docial policy"; Processing of municipal wase for further use Cultural and sporting activities;
10%	**Reduced**	Public transport; Heating; Books and magazines subject to certain conditions, Medications, Medications for veterinary use, Necessary baby food; Resturant and catering services; Household cleaninig services; Bicycle repairs, foortwear and clothing repairs
0%	**Zero-rate**	Exports of goods; Intra-Community supplies of goods; International transportation of passengers and their luggage; Transport and services directly related to the importation or exportation of goods
	Exempt	Basic postal services; Insurance; Financial services; Rent of real estate (excluding short-term rent; rent of parking space; safety boxes and machines); Education; Betting and gambling; Medical care; Social welfare

[7] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

[8] Local name: Dan z pridane hodnoty (DPH)

[9] As from 1 May 2020, the VAT rate will be reduced from the standard 21% rate or the reduced 15% rate (depending on the item) to the reduced 10% rate. Affected items would include catering services, including serving draught beer, the supply of e-books and audiobooks, water and sewer charges, hairdressing and barber services, repairs of bicycles, footwear, tailoring and repairs of clothing, as well as textile products.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of the Czech Republic. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No, but translation can be requested
Sequential numbering	• Yes, see section 6.2.1 above
Required to mention copy or duplicate in case a copy is issued	• Not mandatory, but recommended
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes, provided that the legal address is mentioned as well and it is clearly indicated
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply • Exceptions may apply
IT identification number of the supplier in the country of establishment	• Yes • For the provision of services, the VAT number of the supplier in the country of the establishment should be generally used. For the supply of goods, the VAT number of the supplier in the country where the transportation starts should be used. • Exceptions may apply
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• Yes
Trade register number of the supplier	• No, but recommended

Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• Yes
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes, provided that the legal addres is mentioned as well and it is clearly indicated
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date.
Date of prepayment	• Only if it differs from the invoice date.
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No

Shipped from location (for the supply of goods)	• No, but recommended
Shipped to location (for the supply of goods)	• No, but recommended
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• Only the total VAT amount
Exchange rate (if the invoice is not issued in the local currency)	• No, but recommended
Which exchange rate must be applied in order of priority	• Daily exchange rates declared by the Czech National Bank (ČNB); or • Declared by European Central Bank as of the day at which the liability to declare the VAT arose
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes

List the required references in case of exemption or reverse charge	• Special invoice reference for IC supplies Tax documents must contain a reference to the applicable provision of the VAT Act, the provision of a regulation of the European Union or any other information indicating that the transaction is exempt from tax, if the transaction is exempt from tax. • For example "The supply of goods is exempt according to the §64 of the VAT Act valid in the Czech Republic" or in Czech language "Dodání zboží do jiného členského státu: plnění osvobozené podle § 64 zákona č. 235/2004 Sb. o dani z přidané hodnoty" • Special invoice reference in case a local reverse charge rule is applicable "The tax will be paid by the customer" or in Czech language "Daň odvede zákazník" • All references are allowed to be written in English. However, the tax authorities might require the official translation in case of VAT audit.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No, but recommended
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• Yes, however, most commonly used are mentioned in the above questions. • Other references should be evaluated on a case-by-case basis

Specific references required in case invoicing is outsourced	• No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• CZK 10.000,00
Other supplies for which a simplified invoice can be issued	• No
Simplified invoices limited to certain type of supplies	• No
Simplified invoices not allowed for certain transactions	• Yes • Please note that a tax document may not be issued as a simplified tax document in the case of: - the delivery of goods to another Member State to which tax exemption with entitlement to tax deduction applies, - distance sale to this country with the place of transaction in this country, - carrying out a transaction for which the tax shall be declared by the person for which the transaction is carried out, or - the sale of goods that are subject to excise duties on tobacco products for prices other than the fixed prices effective for end consumers.

Minimum content requirements on a simplified invoice	• The same as regular invoice except the name and VAT ID of the customer, tax base and VAT, and price per unit. If a simplified tax document does not contain the amount of tax, it must contain the total sum which was or is to be obtained for the carried out transaction by the person that carries out the transaction.
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by a non-established supplier on which VAT is due by the supplier • Invoices issued by a non-established supplier which are taxable in our country but VAT is due by the customer • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer • Invoices issued by an established supplier that are taxable in our country
(other) Invoices subject to the national invoice requirements (not self-bills)	• None

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In the Czech Republic, corrective documents must be issued as rectification documents (Credit/Debit/Corrective Documents have the same name in Czech). A corrective document should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• No, but recommended
Reference to original invoice required on a credit note	• Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

There are no explicit requirements in this regard.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• Any method accepted: EDI, Business Controls and eSignature Additionally: Qualified Electronic Mark is allowed	• Any method accepted: EDI, Business Controls and eSignature validation
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• An explicit authorization is required • If the authorization is granted electronically it must be signed with a QES	

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Qualified certificates issued by a Certification Authority accredited in an EU Member State should be accepted • In certain cases, local practices and other considerations may recommend the use of local Cas
Automated e-signing	• Allowed
Time-stamping of e-signature	• Not legally required but widely adopted • No specific requirements apply, but an EU Certification Authority/Time-stamping authority and adherence to common EU standards is strongly recommended

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original tax invoice with eSignature including certificate or other I&A evidence as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Mandatory
Legibility requirements	• If the original e-invoice is in machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[10]	• 10 years
Start point of retention period calculation for invoices not related to immovable property	• From the end of accounting year
Retention period for e- invoices related to immovable property	• 10 years
Start point of retention period calculation for invoices related to immovable property	• Start point of the storage is from the end of the taxable period in which the supply was carried out.
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 10 years

[10] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• Start point of the storage is from the end of the taxable period in which the supply was carried out.
Outsourced archiving	• Allowed
Archiving abroad[11] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Allowed, subject to notification and online access
Other requirements in relation to electronic document retention	• eSignature must be verifiable in storage

[11] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 5.9 and 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Mandatory VAT Control Statement, see section 10.1
Transportation documents	• No explicit requirements
Other	• The standard VAT reporting period in the Czech Republic is monthly. A business with a turnover of more than CZK 10.000.000 in the preceding year may opt to file quarterly returns once it has been registered for three years. • There is no requirement for an annual return

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. VAT Control Statement

Selected entities are obliged to submit the so-called "VAT Control Statement" after 1st January 2016.

The obligation to submit data, from particular tax documents which are already required to be recorded in the tax evidence by the VAT Act, arises. This data will be reported in the VAT Control Statement based on issued and received tax documents (including simplified tax invoices). VAT Control Statement do not substitute a VAT return or a Recapitulative Statement for Intra-community supplies.

Only taxable persons registered for VAT in the Czech Republic (with assigned CZ VAT ID number) will be obliged to submit the VAT Control Statement.

Transactions which shall be declared in the VAT Control Statement:

- Domestic taxable supplies (CZ) or receipt of advance payment,
- Domestic acquisition of goods/services or by providing of advance payment,
- Received transactions from which the acquirer is obliged to declare VAT, and
- Special scheme for investments of gold.

Deadline for submission of the VAT Control Statement:

- legal persons or group registration have to submit the VAT Control Statement no later than the 25th day of each month,
- natural persons must submit the VAT Control Statement on the same day as their VAT return (no later than the 25th day after the taxable period: month or quarter, or special taxable period e.g. in insolvency procedure etc.).

The VAT Control Statement must be submitted electronically (the links below are in the Czech language):

- XML structure for submission of VAT Control Statement,
- instructions of how to fill in particular sections of the VAT Control Statement and a general overview

If a taxable person registered for VAT does not submit a VAT Control Statement by the due date, the following sanctions will be applied:

- CZK 1 000 if the VAT Control Statement is submitted after the due date without summons from the Tax Administration,
- CZK 10.000 if the VAT Control Statement is submitted within the deadline given by the Tax Administration in issued and delivered summons,
- CZK 30 000 if the Corrective VAT Control Statement is not submitted although summons to submit a Corrective VAT Control Statement were issued and delivered by the Tax Administration,
- CZK 50 000 if the regular VAT Control Statement is not submitted nor is submitted after summons of the Tax Administration.

If a taxable person registered for VAT seriously violates or obstructs the administration of VAT by not submitting the VAT Control Statement, the tax administrator can impose a sanction up to CZK 500.000 depending on individual conditions.

10.2. Implementation of Directive 2014/55/EU

The Ministry of Regional Development, the Ministry of Finance and the Ministry of the Interior developed the Public Procurement Strategy for the period 2016-2020. This strategy foresees the timely and effective compliance with the legislative and technological requirements arising from the adoption of the eInvoicing Directive 2014/55/EU.

The Ministry of Finance developed the project called e-Fa I, which had the following goals:

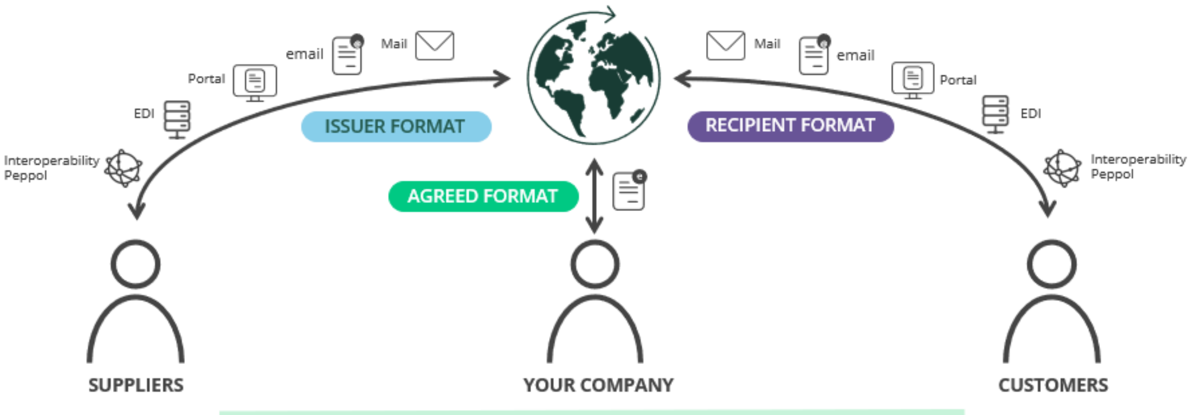
- Collect comments on the eInvoicing Directive 2014/55/EU from public and private sector entities;
- Ensure readiness of the Ministry of Finance's ERP to receive eInvoices; and
- Conduct feasibility study on the implementation of eInvoicing in the Czech Republic.

The Ministry of Finance is current working on a follow-up project named e-Fa II. This project aims to develop the ICT infrastructure that will allow contracting authorities to receive and process eInvoices compliant with the Directive 2014/55/EU.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. E-invoicing with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
1 April 2020	Document created
3 November 2021	Section 6: updated document content requirements Section 8: updated document retention requirements
9 January 2023	Document updated